



“Those with uncertain incomes, buying a policy later, say, after 40, or a preference for simplicity might not benefit from zero-cost plans due to their higher upfront expenses and complexities”

COL. (RETD) SANJEEV GOVILA
CEO, HUM FAUJI INITIATIVES



“Insurers label certain plans zero-cost due to the inclusion of a special exit value option or a return of premiums. This labelling often serves as a marketing strategy to attract potential buyers”

RAKESH GOYAL
DIRECTOR, PROBUS INSURANCE BROKER

Though the return of premium may look enticing, the calculation of its worth may not be so straightforward. Col (Retd) Sanjeev Govila, CEO of financial planning firm Hum Fauji Initiatives, says, “‘Zero-cost’ is more of a mind game. The value of the premium paid today is much more than its value when the insurance company gives it back.”

WHAT YOU NEED TO KNOW

The policies do address a common concern: paying premiums for term insurance that might never yield any returns. But there are some downsides to consider.

First, the policy terms are long, often 30 to 40 years or more. Then there are age-based restrictions. Some plans have specific age brackets for availing of the feature, excluding younger or older applicants.

Now, about early exit: Here, too, conditions apply. The refund is only

available at specific predetermined points. Besides, exiting early means losing the *raison d'être* of a term insurance plan, the death benefit.

Policyholders must weigh the opportunity cost. The premiums paid could be invested elsewhere.

For instance, a 30-year-old purchasing an ICICI Pru iProtect Smart zero-cost term plan will shell out an annual premium of ₹16,287. However, opting for a regular term plan until retirement at 60 would mean a yearly expense of only ₹12,686 over 30 years, accumulating a substantial difference of ₹1.08 lakh in premiums. If, however, a person were to invest the difference of ₹3,601 (SIP of ₹300 a month) in mutual funds with anticipated returns of 12 per cent, their corpus could swell to about ₹10.5 lakh over 30 years. Likewise, if the sum were put in an RD at the current rates of about 8 per cent, the returns would

be ₹4.5 lakh. That's almost the cumulative sum of premiums paid for a regular plan. So, your regular term plan can become a zero-cost one.

“Zero-cost term insurance has a higher premium than a pure term plan. Higher to such an extent that if the difference is invested year-on-year for the length of the term, even with a modest return, the corpus would equal the premium paid,” says Amol Joshi, Founder of investment services platform Plan Rupee.

Paying ₹16,287 annually for 30 years will add up to ₹4.89 lakh. Yet, after subtracting GST at 18 per cent—which comes up to ₹2,931.66—the total return upon retirement reduces to ₹4 lakh.

Most importantly, you need to watch out for hidden costs. While premiums are generally tax-deductible, the refunded amount might be taxable, depending on the plan and your tax bracket. And there could be additional policy charges or fees.

| 101

WHO DOES THIS SUIT BEST?

Despite these drawbacks, zero-cost term policies are suitable for risk-averse individuals. “People who prioritise a return of premiums paid if they survive the policy term over the absence of maturity benefits in traditional term plans can consider buying this policy,” says Garg.

“If you are, say, in your early 20s, and you are buying a zero-cost policy with a term of 40 years or more, then it is a decent benefit. You don't lose anything by opting for it. Those comfortable with higher initial costs and complexities in exchange for potential future benefits could consider zero-cost term plans,” adds Govila. Those who prefer straightforward, low-cost coverage might find regular plans suitable, he says.

So, if you're enticed by the zero in the policy's name, think hard before choosing it. **BT**

@imNavneetDubey